

# Introduction

# THE NEW RESKILLING AND UPSKILLING AGENDA

by Peter Cappelli

To understand why today so much attention is on reskilling and upskilling among leaders and organizations, we need to take a quick trip back to last century.

In the days when “The Great Corporations” ruled business and white-collar jobs were guaranteed for life, training was a nonstop, continuous endeavor. In the United States, Europe, and especially Japan, business was reasonably predictable, economies were heavily regulated, and foreign competition was not yet a defining feature. Companies could plan. Talent was grown from within: Companies had different cultures and strategies, and their leaders believed, perhaps wrongly, that outsiders could not fit in and be useful. New hires were virtually all at the entry level, right out of school. Other jobs were filled from within.

In that environment, companies “built” all their talent in a manner that now seems remarkably top-down. They would set out a business plan for the next 10 years, figure out what their human capital needs would be to execute that plan, and set to work training employees to fit into it. Into the mid-1980s, IBM had a policy of three weeks of training for *every employee every year*. The term “retraining” was never used—it was just “training.”

This paradigm couldn’t last. Deregulation and global competition created uncertainty that eroded the usefulness of long-term plans. The greater ease with which companies could divest operations to change their strategies and then acquire new businesses provided a rapid “buy” route to acquiring competencies that was much faster than the traditional “build” route. The nearly continuous rounds of layoffs as part of “reengineering” efforts from the 1980s through the 1990s in the United States and, later, elsewhere provided a pool of experienced and trained candidates in the outside market. Organizations realized these recently unemployed professionals could easily be plugged in to meet any new skill requirements. Swiftly, the notion of building talent gave way to the idea of buying it on a just-in-time basis.<sup>1</sup>

The extent of this shift was staggering. By some measures, U.S. corporations now fill only about 15% of their vacancies from within as opposed to more than 90% in an earlier period. The average amount of

training received by U.S. employees (including safety, compliance, and so forth) is now down to about one day per year. A full 40% of managers reported that they received *no* training before becoming a manager.<sup>2</sup>

Today's renewed attention to reskilling and upskilling represents a different direction. While it is certainly not a return to the old corporate model, it does represent a recognition of the limits of trying to "buy" talent from outside. Two factors have driven this rethinking.

The first is the current difficulty in buying talent in a tighter job market. From 1974 to 2017, the unemployment rate dropped below 4% in the United States only once. Since then, it has touched that level every year, even in the Covid-era years of 2020 and 2021. Unemployment in the European Union is also near historic lows. It is disappointing that it took employers decades to act on the overwhelming evidence about the high costs of turnover and hiring from the outside. But it was hard for them to miss when they became unable to fill vacancies.

The second is the belief that skill requirements may change and may do so quickly. This concern is driven further by developments in artificial intelligence (AI), especially generative AI models such as ChatGPT, which can be used for many tasks in many roles. As I am writing this, the perception that generative AI tools will eliminate many workers is being replaced by the view that these tools will instead alter a great many jobs. The issue organizations face is what skills their employees will need to make use of AI. The distinction between upskilling and reskilling relates to the nature of the needed skill change: Does it extend what current employees are doing (upskilling) or redirect it in some fundamental way (reskilling)?

That takes us to the central challenge the authors of this book address: We knew how to train when the needs were known well in advance and, frankly, when the paying for them was accepted as necessary. And we knew how *not* to train when there was ample available talent waiting to be recruited. But how should we do it in the current environment where those needs may change quickly, and we don't have the same training and retention budgets as we did in the past? These articles offer several different approaches for doing so.

Identifying which skills need to be developed is the first and arguably most difficult task because we are still learning what generative AI, the key driver of this new paradigm, can do. Another challenge is figuring out which employees are best suited for which new tasks, and in turn, what kind of upskilling is needed to get them there.

One of the longstanding issues these authors explore is the often large disconnect between providing training and actually changing how employees do their work. New approaches explored here rely less on sitting in a classroom and more on learning by doing, rehearsal, and practicing.

Another challenge the authors point out is that giving employees the skills to do new jobs and to do their existing jobs differently will not help if the employees resist these changes. Many of the classic lessons about organizational change are therefore important, such as showing employees what the new jobs will look like and why the changes they are being asked to make are in their interests.

Perhaps the biggest change in the thinking about training is the recognition that we do not have to deliver it by ourselves. We see many examples of partnerships with other organizations, including with governments. Closely related to that development is the change in how to pay for it. Tuition reimbursement and apprenticeships are rediscovered examples of sharing the costs of investing in employees.

It is not surprising that a new approach to acquiring skills might also change how we hire. We see that reflected in several of the readings where building skills means hiring from a broader applicant pool that is less reliant on academic credentials and more oriented around the potential for building needed skill.

Another important insight is the extent to which we see reskilling and upskilling initiatives led by companies outside the United States. In part this is because those companies are increasingly large and sophisticated—especially now in India—but also because they were never as heavily invested in the buying talent model as their U.S. counterparts were.

This new context where we are growing the talent we need is better all around. It is more cost-effective for employers, fairer for candidates who no longer must pay out of pocket for their own training, and more likely to generate stable employment than the churning model that underlies the “skills just-in-time” approach to hiring.

As you read this book, you will see diverse approaches to reskilling and upskilling explored in many contexts. Section 1, “The Reskilling Imperative,” explores new paradigms for reskilling that both leaders and employees must understand and lays out a dynamic organizational approach to skill-building. “Identifying Critical Skills Gaps,” section 2, discusses developing the skills your people will need to reap the benefits of AI and other technologies. “Skill-Building That Works,” the third and most robust section of the book, outlines many approaches to upskilling, including learning in the flow of work, bespoke digital academies, and simulations, all with an eye toward measuring return on your skilling initiatives. Finally in section 4, “Skills-First Hiring,” three authors describe a new path toward widening narrow talent funnels.

The issues here and the examples of how they are addressed are timely and important not just for employers but for the lives and experiences of their employees. With this knowledge of the context behind this reskilling and upskilling agenda, I hope you and your organization can develop successful approaches to building skills, higher employee engagement, and better results.

## NOTES

1. See Peter Cappelli, *The New Deal at Work* (Boston: Harvard Business School Press, 1999) for a description of the decline of the lifetime employment model.

2. These developments are reviewed in Peter Cappelli and Ranya Nehmeh, “HR’s New Role,” *Harvard Business Review*, May–June 2024.